

The Honest Analyst

Example Report — NVIDIA (NVDA) · Generated July 2026

REAL DATA IN · ZERO INVENTED NUMBERS

This is a genuine, unedited example of what The Honest Analyst produces when you paste in a company's real reported numbers. Notice three things as you read: every calculation shows its math, anything not in the data says **MISSING** instead of being guessed, and the report asks the questions a professional would ask — it never tells you to buy or sell.

1. The Company in 3 Sentences

NVIDIA designs GPUs (graphics processing units — the chips) and AI computing platforms — chips plus software sold into data centers for artificial intelligence, gaming PCs, and cars — while manufacturing partners physically produce the chips. That design-only model shows up directly in the numbers: it earns a 75% gross margin (what's left of revenue after direct production costs) while spending just \$1.8B on equipment against \$81.6B of quarterly revenue — the story and the numbers match. Stage: unmistakably high-growth — revenue rose 75% in nine months (\$46.7B → \$81.6B), with profit rising even faster.



2. Fundamentals Table

Metric	Value from the data	So what?
Revenue, latest quarter	\$81.6B	Massive scale, still accelerating
Revenue growth	+19.8% QoQ; +74.7% over 3 quarters	~20% per quarter, three quarters straight — extreme at this size
Gross margin	75% (61.2÷81.6)	Keeps 75¢ of every sales dollar
Operating margin	65.6% (53.5÷81.6)	Two-thirds of sales becomes core profit
Net income	\$58.3B — 71.4% of revenue	Above operating income → Red Flag 1
Diluted EPS	\$2.39 vs \$1.08 a year ago (+121%)	Per-share profit more than doubled

Cash vs debt	\$80.6B vs \$12.8B → \$67.8B net cash	Debt is trivial: 6.5% of equity
Inventory	\$25.8B, was \$21.4B (+20.6%)	A \$4.4B bet that demand keeps rising
Operating cash flow	\$50.3B	\$8.0B <i>below</i> net income → Red Flag 2
Free cash flow	\$48.6B = 59.6% of revenue	Enormous; capex only 2.2% of sales
TTM EPS	\$6.53 (1.08+1.30+1.76+2.39)	The full-year earning base for valuation
P/E, trailing	32.3× (210.96 ÷ 6.53)	You pay ~32 years of last year's profit
P/E on latest pace	22.1× (210.96 ÷ [2.39×4])	Much cheaper — IF this quarter's pace holds
Segment revenue, customers, guidance	MISSING — not in provided data	Can't see where growth comes from or who buys

3. Moat Check

Two clues, no proof. First, indirect evidence: a 75% gross margin sustained while growing ~20% per quarter is exactly what competition normally erases — that it persists suggests real pricing power (a "moat" is whatever durable advantage stops competitors from taking your profits). Second, from the description: NVIDIA sells *chips plus software* as platforms, and bundled software often creates switching costs — but the material only shows the bundle exists, not that customers are actually locked in. Said exactly: the margins suggest a moat exists, the platform model hints at its type, and the material proves neither.

4. Red Flags

1. Earnings quality — profit above core profit. Net income \$58.3B is *above* operating income \$53.5B. The core business really made \$53.5B before tax — that is the anchor number. Everything lifting the bottom line past it came from outside the core (investments, interest, other gains), and the material neither itemizes it nor shows the tax line. If those gains are one-time, \$2.39 EPS overstates repeatable earning power. This is the report's biggest open question.

2. Profit above cash. \$58.3B of net income vs \$50.3B of operating cash flow — \$8.0B of reported profit didn't arrive as cash this quarter. Consistent with paper gains and the inventory build.

3. Inventory building. \$21.4B → \$25.8B (+20.6%) in one quarter. In line with sales growth for now, but it's product that must be sold; if demand cools, high-margin inventory becomes write-downs.

4. Outsourced production. The entire supply of an \$81.6B-per-quarter business flows through outside partners the material doesn't name. This data gives zero visibility into that dependency.

5. Strengths

Compounding growth: \$46.7B → \$57.0B → \$68.1B → \$81.6B — three straight quarters near +20%.

Margins widening with scale: net margin 56.5% → 71.4% across four quarters (partly non-operating, see Red Flag 1 — but the 75% gross margin needs no asterisk).

Fortress balance sheet: \$67.8B more cash than debt.

Cash machine: \$48.6B free cash flow in one quarter funds \$6.3B of R&D and \$21.4B of buybacks with room to spare.

6. Bull Case vs Bear Case

Bull: ~20% quarterly growth on an \$80B+ base — if the pace merely holds, today's 32.3× trailing P/E is really 22.1× on the current pace. Self-funding: \$48.6B quarterly free cash flow plus \$67.8B net cash. Profitability rising, not eroding: EPS +121%.

Bear: Earnings quality — profit exceeds both operating income and operating cash flow; strip the unexplained non-core boost and the "cheap on current pace" argument weakens. Priced for perfection: \$5.11T at 32× trailing earnings. \$25.8B of inventory building, production in outside hands, and zero visibility into who the customers are.

7. Thesis Starter

"I believe NVIDIA will [outcome] because [mechanism], and I would be proven wrong if [event]."

Mechanisms the data supports: (a) revenue compounding ~20% per quarter at 75% gross margin and ~60% free-cash-flow conversion; (b) headline profit inflated by non-core gains, so true earnings are lower than they look.

Invalidation events the data supports: (i) quarterly growth under 10% for two straight quarters; (ii) gross margin under 70%; (iii) inventory growing faster than revenue two quarters running; (iv) the profit-above-operations gap turning out to be recurring paper gains.

The sentence — and the choice — is yours.

8. Investigate Before Deciding

1. The gap between \$53.5B and \$58.3B → 10-Q income statement line "Other income (expense), net" and its footnote; listen for it in the earnings call Q&A. This single item decides whether \$2.39 is the real earning pace.

2. Customer concentration → the concentration disclosure in the 10-Q/10-K revenue notes and Risk Factors. At \$81.6B a quarter, a handful of buyers may dominate.

3. Revenue mix, competitors, and the manufacturing partners → the segment note in the 10-Q; competitors' filings for a growth-and-margin side-by-side; 10-K Item 1 for who actually builds the chips.

9. Data Quality & Confidence

Coverage was strong: a business description plus P&L summary, key balance-sheet lines, cash flow, a four-quarter trend, and market data — internally consistent (implied shares: $58.3 \div 2.39 \approx 24.4\text{B}$; $\times \$210.96 \approx \5.1T , matching the stated \$5.1T). Missing: segment split, customer data, guidance, the tax line, partner names, and any breakdown of non-core income. **Confidence: Medium** — the material is consistent and complete enough for structure, but its biggest question (the source of profit above operations) cannot be answered from what's here.